

Review: THE ECONOMISTS' MINDS TUTORIALS Organized by Adu-Boahen Felix on lecture 1,

Respondent

22

Anonymous

10:09

Time to complete

20/20

Points

✓ **Correct** 1/1 Points1 / 1 pt
Auto-graded

Opportunity cost refers to: *

- ☐ The price of the item bought
- ☐ The total money spent
- ☒ The next best alternative foregone ✓
- ☐ The benefits of all alternatives

✓ **Correct** 1/1 Points1 / 1 pt
Auto-graded

Which principle explains why people respond to incentives? *

- ☐ People face trade-offs
- ☒ Rational people think at the margin ✓
- ☐ The cost of something is what you give up to get it
- ☐ Markets are usually a good way to organize economic activity

✓ **Correct** 1/1 Points1 / 1 pt
Auto-graded

Which of the following best describes the principle of "People Face Trade-offs"? *

- ☐ People always get what they want
- ☒ To get something, people must give up something else ✓
- ☐ The government decides for individuals
- ☐ Everyone gets an equal amount of resources

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Marginal changes are: *

- ☐ Large adjustments to decisions
- ☒ Small incremental adjustments to a plan of action ✓
- ☐ Total changes in a plan
- ☐ Unrelated to economic decisions

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Which of the following is an example of an incentive? *

- ☒ A tax on cigarettes to reduce smoking ✓
- ☐ Ignoring price changes when buying goods
- ☐ A person making random choices
- ☐ The government limiting production

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

People respond to incentives because: *

- ☐ They never change their behavior
- ☐ They ignore costs and benefits
- ☒ Their decisions are influenced by costs and rewards ✓
- ☐ They always make irrational choices

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Trade can make everyone better off because: *

- ☒ It allows people to specialize in what they do best ✓
- ☐ It increases government intervention
- ☐ It eliminates competition
- ☐ It guarantees equal income for all

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Which of the following is NOT a characteristic of a market economy? *

- ☐ Decentralized decision-making
- ☒ Government-controlled pricing ✓
- ☐ Individuals making production decisions
- ☐ Supply and demand influencing prices

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Adam Smith's "invisible hand" refers to: *

- ☐ Government control over markets
- ☒ The self-regulating nature of the marketplace ✓
- ☐ The use of physical labor in production
- ☐ The impact of monopolies

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Market economies allocate resources through: *

- ☐ Central planning
- ☐ Government decisions
- ☒ Supply and demand interactions ✓
- ☐ Random selection

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Governments may intervene in markets to: *

- ☐ Reduce efficiency
- ☐ Ensure market failure continues
- ☒ Promote equity and efficiency ✓
- ☐ Eliminate consumer choices

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

A central bank controlling the money supply to manage inflation is an example of: *

- ☐ Fiscal policy
- ☒ Monetary policy ✓
- ☐ Taxation policy
- ☐ None of the above

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Productivity in an economy is determined by: *

- ☐ The amount of natural resources
- ☒ The quantity and quality of human and physical capital ✓
- ☐ Government spending alone
- ☐ The number of people unemployed

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

The Phillips Curve shows a trade-off between: *

- ☐ Inflation and money supply
- ☒ Unemployment and inflation ✓
- ☐ Economic growth and government spending
- ☐ Supply and demand

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

In the short run, increasing the money supply tends to: *

- ☒ Increase demand and production ✓
- ☐ Decrease inflation
- ☐ Lower employment
- ☐ None of the above

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Inflation is best defined as: *

- ☐ A decrease in the price level
- ☒ A general increase in prices over time ✓
- ☐ All the above
- ☐ A rise in the unemployment rate

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Which of the following is the primary cause of inflation? *

- ☐ All of the above
- ☐ None of the above
- ☒ The government printing too much money ✓
- ☐ Firms reducing output

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

A country's standard of living depends on: *

- ☐ The total money supply
- ☒ The level of production of goods and services ✓
- ☐ Government intervention
- ☐ All of the above

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

Which of the following is an example of a market failure? *

- ☐ None of the above
- ☐ A competitive market producing goods efficiently
- ☒ A firm creating pollution but not paying for it ✓
- ☐ A business earning high profits

✓ **Correct** 1/1 Points

1 / 1 pt
Auto-graded

A market failure occurs when: *

- ☐ There is no government intervention
- ☒ Markets fail to allocate resources efficiently ✓
- ☐ Competition is strong
- ☐ Prices remain stable